

Lecture 2: Welcome to Class, Mr. SDF

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Intro

- Where do prices come from?
- If you ask your friend at an asset management company:

$$P_t = \sum_{i=1}^{\infty} \frac{\mathbb{E}[D_{t+i} | \mathcal{F}_t]}{(1 + r_t)^i}$$

- Key question: what's the right r_t ?
- Cochrane (2011): the central question of asset pricing is what drives r_t ;
- A theory about P_t is a theory about r_t , given cash-flow expectations;

Questions?

Cochrane, John H. 2011. “Presidential Address: Discount Rates.” *The Journal of Finance* 66 (4): 1047–1108. <https://doi.org/10.1111/j.1540-6261.2011.01671.x>.